



**The Keepers
Holdings**

August 13, 2025

Securities and Exchange Commission
7907 Makati Avenue, Salcedo Village,
Bel-Air, Makati City, 1209

Attention: **Mr. Oliver O. Leonardo**
Director, Markets and Securities Regulation Department

Philippine Stock Exchange
6/F, PSE Tower, 28th Street corner 5th Avenue,
Bonifacio Global City, Taguig City

Attention: **Atty. Johanne Daniel M. Negre**
OIC, Disclosure Department

Gentlemen:

For submission is the attached Second Quarterly Report (SEC Form 17-Q) of The Keepers Holdings, Inc. for the year 2025.

Sincerely yours,

JEWELYN A. JUMALON
Assistant Corporate Secretary and
Compliance Officer

COVER SHEET

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SEC Registration Number

THE KEEPERS HOLDINGS, INC.

(Company's Full Name)

NO. 900 ROMUALDEZ ST., PACO, MANILA

(Business Address: No. Street City/Town/Province)

JEWELYN A. JUMALON

(Contact Person)

(63) 917 861 2459

(Company Telephone Number)

1 2

Month

3 1

Day

SEC FORM 17-Q

(Form Type)

0 5

1 3

(Annual Meeting)

(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Total Amount of Borrowing

Domestic

Foreign

SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER

1. For the quarterly period ended JUNE 30, 2025
2. Commission identification number 24015
3. BIR Tax Identification No. 000-282-553
4. Exact name of issuer as specified in its charter THE KEEPERS HOLDINGS, INC.
5. Province, country or other jurisdiction of incorporation or organization PHILIPPINES
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office No. 900 Romualdez St., Paco, Manila
8. Issuer's telephone number, including area code (02) 523-3055
9. Former name, former address and former fiscal year, if changed since last report
_____.
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class Number of shares of common
stock outstanding and amount of debt outstanding

Common Stock, P0.10

14,508,750,313

11. Are any or all of the securities listed on a Stock Exchange?

Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

Common Stock

12. Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [☒] No [☐]

- (b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]

FINANCIAL INFORMATION

Item 6. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following should be read in conjunction with the accompanying unaudited interim consolidated financial statements and notes thereto which form part of this Quarterly Report. These interim consolidated financial statements and notes thereto have been prepared in accordance with Philippine Financial Reporting Standards particularly PAS 34, Interim Financial Reporting.

Top Key Performance Indicators

The following are the financial soundness indicators used by the Group as at June 30, 2025 and December 2024 and for the six-month periods ended June 30, 2025 and 2024:

	June 30, 2025	December 2024
Current Ratio ⁽¹⁾	4.30:1	4.95:1
Asset to Equity Ratio ⁽²⁾	1.23:1	1.19:1
Debt to Equity Ratio ⁽³⁾	0.23:1	0.19:1
Debt to Total Assets Ratio ⁽⁴⁾	0.18:1	0.16:1
Book Value per Share ⁽⁵⁾	P1.19	P1.20

	June 30, 2025	June 30, 2024
Earnings per Share ⁽⁶⁾	P0.11	P0.10
Return on Assets ⁽⁷⁾	7.73%	7.48%
Return on Equity ⁽⁸⁾	9.35%	9.33%

- (1) Current Assets over Current Liabilities
- (2) Total Assets over Total Equity
- (3) Total Liabilities over Total Equity
- (4) Total Liabilities over Total Assets
- (5) Total Equity over Total Common Shares Outstanding
- (6) Net income after tax over Weighted Average Common Shares Outstanding
- (7) Net income after tax over Average Total Assets
- (8) Net income after tax over Average Total Equity

I. Financial Performance

The following table shows the unaudited consolidated statements of comprehensive income for the six-month periods ended June 30, 2025, and 2024:

<i>(In thousands)</i>	2025	% to Sales	2024	% to Sales	% Change
Net Sales	P9,035,350	100%	P7,718,631	100.0%	17.0%
Cost of Sales	6,628,384	73.4%	5,563,613	72.1%	19.1%
Gross Profit	2,406,966	26.6%	2,155,018	27.9%	11.7%
Operating Expenses	692,498	7.7%	567,449	7.4%	22.0%
Income from Operations	1,714,468	18.9%	1,587,569	20.5%	8.0%
Share in the net income of a joint venture and an associate	227,996	2.5%	108,322	1.4%	110.5%
Other income-net	23,424	0.3%	50,118	0.6%	(53.3%)
Net Income before tax	1,965,888	21.7%	1,746,009	22.5%	12.6%
Provision for income tax	344,378	3.8%	319,792	4.1%	7.7%
Net Income after tax	P1,621,510	17.9%	P1,426,217	18.4%	13.7%

Net Sales

The Group's consolidated net sales for the six-month period ended June 30, 2025, amounting to P9.0 billion grew by 17.0% from the P7.7 billion consolidated net sales for the six-month period ended June 30, 2024. The growth is attributable to the 22% increase in total cases sold during the period. Brandy category remains to be the growth driver which represents the 82% of the group's sales value and 85% of the group's sales volume.

Cost of Sales

The Group's cost of sales increased by 19.1% for the six-month period ended June 30, 2025. The minimal increase in the gross profit is the result of product sales mix and the initial effect of the significant increase in foreign exchange rates during the period.

Operating Expenses

Operating expenses amounting to P692.5 million for the six-month period ended June 30, 2025, increased by 22.0% as compared to the operating expenses in the same period of 2024 which amounted to P567.4 million. Direct costs, which include advertising and distribution expenses, increased by 15% in the current period and is parallel to the increase in sales. Other operating expenses increased by 32% and is attributable mainly to the renewal of warehouse lease agreements, increase in warehouse lease rentals, improvements and repairs.

Share in the Net Income of a Joint Venture and an Associate

This is mainly attributable to the share in the net income of Bodegas Williams & Humbert and Pernod Ricard Philippines.

Net Income

The Group's net income for the six-month period ended June 30, 2025 amounted to P1.6 billion which is 13.7% higher than the net income of P1.4 billion for the six-month period ended June 30, 2024. About 84.5% of the net income or P1.37 billion was generated from the Group's core operations while the remaining 15.5% or P251.4 million was generated from the investing activities.

II. Consolidated Financial Position

The Group's consolidated financial position as at June 30, 2025 and December 31, 2024 are shown below:

<i>(in thousands)</i>	June 30, 2025 (Unaudited)	% to Total Assets	December 31, 2024 (Audited)	% to Total Assets	% Change
Cash and cash equivalents	P5,705,706	26.9%	P4,903,223	23.6%	16.4%
Trade and other receivables – net	1,407,907	6.6%	2,849,451	12.9%	(50.4%)
Inventories	5,274,504	24.9%	5,876,751	28.3%	(10.2%)
Prepaid expenses and other current assets	2,790,960	13.2%	1,361,029	7.5%	105.1%
Total Current Assets	15,179,077	71.6%	14,990,454	72.3%	1.3%
Right-of-use assets – net	261,878	1.2%	44,723	0.2%	485.6%
Property and equipment – net	26,186	0.1%	27,519	0.1%	(4.8%)
Deferred income tax assets – net	6,259	0.0%	6,404	0.0%	(2.3%)
Investments in associate and joint venture	5,627,892	26.6%	5,606,810	27.0%	0.4%
Other noncurrent assets	85,845	0.4%	66,660	0.4%	28.8%
Total Noncurrent Assets	6,008,060	28.4%	5,752,116	27.7%	4.4%
Total Assets	P21,187,137	100.0%	P20,742,570	100.0%	2.1%
Trade and other payables	P3,245,523	15.3%	P2,583,843	12.5%	25.6%
Dividends payable	783	0.0%	532	0.0%	47.1%
Income tax payable	224,802	1.1%	414,203	2.0%	(45.7%)
Lease liabilities – current	58,581	0.3%	30,961	0.1%	89.2%
Total Current Liabilities	3,529,689	16.7%	3,029,539	14.6%	16.5%
Loans Payable	140,000	0.7%	260,000	1.3%	(46.2%)
Retirement benefits liability	32,382	0.1%	30,183	0.1%	7.3%
Lease liabilities - net of current portion	209,455	1.0%	19,593	0.1%	969.1%
Total Noncurrent Liabilities	381,837	1.8%	309,776	1.5%	23.3%
Total Liabilities	3,911,526	18.5%	3,339,315	16.1%	17.1%
Capital stock	1,450,875	6.8%	1,450,875	7.0%	0.0%
Additional paid-in capital	25,447,900	120.1%	25,447,900	122.7%	0.0%
Retained earnings	11,207,860	52.9%	11,327,400	54.6%	(1.0%)
Equity adjustments from common control					
Transactions	(20,848,500)	(98.4%)	(20,848,500)	(100.5%)	0.0%
Accumulated remeasurements on					
retirement benefits	(528)	(0.0%)	(528)	(0.0%)	0.0%
Cumulative translation adjustment	19,420	0.1%	27,500	0.1%	(29.4%)
Other reserves	(1,416)	(0.0%)	(1,392)	0.0%	1.7%
Total Equity	17,275,611	81.5%	17,403,255	83.9%	(0.7%)
Total Liabilities and Equity	P21,187,137	100.0%	P20,742,570	100.0%	2.1%

Working Capital

As at June 30, 2025 the Group's working capital amounted to P11.6 billion. Current ratios are at 4.30x and 4.95x as of June 30, 2025 and December 31, 2024, respectively.

Current Assets

As at June 30 2025, total current assets amounted to P15.2 billion or 71.6% of total assets.

Cash and cash equivalents amounted to about P5.7 billion as of June 30, 2025 or 26.9% of total assets. The balance increased by 16.4% due to efficiency in the collection receivables.

Trade and other receivables amounted to P1.4 billion as of June 30, 2025 with net decrease of 50.4% from December 31, 2024, balance due to efficiency in collections. The average collection period is 36 days while the credit terms offered to customers is 30 to 60 days.

Inventories amounted to P5.3 billion or 24.9% of total assets as of June 30, 2025. This amount decreased by 10.2% from the balance at the close of December 31, 2024.

Prepaid expenses and other current assets amounted to P2.8 billion as of June 30, 2025. The increase of 105.1% is mainly due to the advance payments for excise tax pertaining to 2025 purchase orders.

Noncurrent Assets

As of June 30, 2025, total noncurrent assets amounted to P6.0 billion or 28.4% of total assets.

Right-of-use assets represent the values recognized from long-term lease contracts covering office and warehouse facilities. As of June 30, 2025, net book value amounted to P261.9 million. It increased significantly from the balance as of December 31, 2024, due to renewal of various warehouse lease contracts.

Property and equipment-net book values amounted to P26.2 million as of June 30, 2025. This account mainly consists of the transportation and delivery equipment as well as leasehold improvements on leased office premises and warehouses.

Investments in a joint venture and an associate amounted to P5.6 billion as of June 30, 2025 or 26.6% of the total assets. This includes the group's 30% acquired equity interest in Pernod Ricard Philippines in February 2019. Investment in joint venture as of June 30, 2025 pertains to acquisition of 50% equity interest in Bodegas Williams & Humbert SA. Both investments are accounted using the equity method.

Current Liabilities

As of June 30, 2025 total current liabilities amounted to P3.5 billion equivalent to 16.7% of total assets.

Trade and other payables amounted to P3.2 billion or 15.3% of total assets. This figure pertains to the amounts due to trade and non-trade suppliers, both local and foreign.

Income tax payable amounted to P224.8 million as of June 30, 2025.

Lease liabilities due within the year amounted to P58.6 million, which represents the lease payable for the use of warehouses and offices.

Noncurrent Liabilities

As of June 30, 2025, total non-current liabilities amounted to P381.8 million.

Lease liabilities net of current portion payable for the succeeding year until the end of the lease agreements on the use of warehouses and offices amounted to P209.4 million.

Retirement benefit liability represents the present value of the defined benefits retirement obligations amounted to P32.3 million as of June 30, 2025, covering all regular employees.

Equity

As of June 30, 2025 total equity amounted to P17.3 billion or 81.5% of total assets.

Capital stock amounted to P1.45 billion as of June 30, 2025, and December 31, 2024.

Additional paid in capital amounted to P25.4 billion of which, P21.3 billion resulted from the recognition of the difference between the fair market values of the three liquor distribution companies, namely Montosco, Inc., Meritus Prime Distributions, Inc. and Premier Wine and Spirits, Inc. based on an independent valuation and the par value of the 11.250 billion new shares issued by the Company in favor

of Cosco Capital pursuant to the share swap transaction between the Company and Cosco, net of P46.8 million pertaining to shares issuance costs.

The balance also includes additional paid in capital from the follow-on offering of 3,000,000,000 primary shares amounting to P4.1 billion, net of the share issuance cost of P126.3 million.

Retained earnings amounted to P11.2 billion represents the aggregated retained earnings of the Company and the subsidiaries as of June 30, 2025 net of cash dividend declarations.

Equity adjustments from common control transactions amounting to P20.8 billion represents the difference between the fair market values and the carrying values of the net assets of the three liquor distribution companies recognized in accordance with existing international accounting standards and guidance on consolidation of companies under common control.

III. Sources and Uses of Cash

The Group's primary sources of liquidity are basically its net operating cash inflows augmented by the availment from bank loan facilities as and when required.

A brief summary of the consolidated cash flows during the comparative periods are show below:

	For the six-month periods ended June 30	
<i>(In thousands)</i>	2025	2024
Net cash from (used) operating activities	P2,722,142	P2,371,584
Net cash from (used) in investing activities	(7,081)	1,439
Net cash used in financing activities	(1,909,495)	(2,598,019)
Effect of exchange rate changes	(3,083)	3,576
Net increase in cash and cash equivalents	P802,483	(P221,420)

Net cash from the operating activities during the current period is basically attributable to the net effect of the increase in sales, collection of trade receivables, settlement of trade payable accounts, purchase of additional inventory requirements and other related current operating requirements.

Net cash used in investing activities mainly pertains to the funds used for additional leasehold improvements, office equipment, furniture and fixtures, computer licenses as well as machinery and equipment.

Net cash used in financing activities in the current period is primarily due to payment of loans, leases and dividends.

IV. Material Events and Uncertainties

There are no known trends or any known demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the Group's liquidity increasing or decreasing in any material way.

There are no events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation;

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the year.

There are no material commitments for capital expenditures other than those performed in the ordinary course of trade of business in line with the Group's expansion program.

There are no known trends, events or uncertainties that have had or that are reasonably expected to have a material impact on the revenues or income from continuing operations.

There are no significant elements of income not arising from continuing operations.

The Group experiences the fourth quarter of the year as the peak season relating to increased sales resulting from Christmas and New Year holidays.

SIGNATURES

Pursuant to the requirements of the Securities and Regulation Code, the issuer has duly caused this Second Quarterly Financial Statement of The Keepers Holdings, Inc. and its subsidiaries for the year 2025 to be signed on its behalf by the undersigned thereunto duly authorized.

August 12, 2025 in the City of Manila

THE KEEPERS HOLDINGS, INC.

By:



JOSE PAULINO L. SANTAMARINA

President



IMELDA D. LACAP

Comptroller

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONSOLIDATED FINANCIAL STATEMENTS
June 30, 2025 and December 31, 2024

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(In Thousands)

		June 30, 2025	December 31, 2024
	Note	(Unaudited)	(Audited)
ASSETS			
Current Assets			
Cash and cash equivalents	6, 25	P5,705,706	P4,903,223
Trade and other receivables - net	7, 25	1,407,907	2,849,451
Inventories	8	5,274,504	5,876,751
Prepaid expenses and other current assets	9	2,790,960	1,361,029
Total Current Assets		15,179,077	14,990,454
Noncurrent Assets			
Right-of-use assets - net	20	261,878	44,723
Property and equipment - net	10	26,186	27,519
Deferred income tax assets - net	22	6,259	6,404
Investments in a joint venture and an associate	11	5,627,892	5,606,810
Other noncurrent assets	12, 20, 25	85,845	66,660
Total Noncurrent Assets		6,008,060	5,752,116
		P21,187,137	P20,742,570
LIABILITIES AND EQUITY			
Current Liabilities			
Trade and other payables	13, 25	P3,245,523	P2,583,843
Dividends payable	16, 25	783	532
Income tax payable		224,802	414,203
Lease liabilities - current	20, 25	58,581	30,961
Total Current Liabilities		3,529,689	3,029,539
Noncurrent Liabilities			
Loans payable	14	140,000	260,000
Retirement benefits liability	21	32,382	30,183
Lease liabilities - net of current portion	20, 25	209,455	19,593
Total Noncurrent Liabilities		381,837	309,776
Total Liabilities		3,911,526	3,339,315
Equity			
Capital stock	16	1,450,875	1,450,875
Additional paid-in capital	16	25,447,900	25,447,900
Retained earnings	16	11,207,860	11,327,400
Equity adjustments from common control transactions	5	(20,848,500)	(20,848,500)
Accumulated remeasurements on retirement benefits	21	(528)	(528)
Cumulative translation adjustment		19,420	27,500
Other reserves		(1,416)	(1,392)
Total Equity		17,275,611	17,403,255
		P21,187,137	P20,742,570

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands, Except Per Share Data)

		Three-Month Periods Ended June 30		Six-Month Periods Ended June 30	
	<i>Note</i>	2025	2024	2025	2024
NET SALES	15	P4,975,754	P4,360,976	P9,035,350	P7,718,631
COST OF GOODS SOLD	17	3,662,881	3,132,214	6,628,384	5,563,613
GROSS PROFIT		1,312,873	1,228,762	2,406,966	2,155,018
OPERATING EXPENSES	18	336,530	274,466	692,498	567,449
INCOME FROM OPERATIONS		976,343	954,296	1,714,468	1,587,569
SHARE IN NET INCOME OF A JOINT VENTURE AND AN ASSOCIATE	11	128,744	31,405	227,996	108,322
OTHER INCOME - Net	19	15,995	23,483	23,424	50,118
INCOME BEFORE INCOME TAX		1,121,082	1,009,184	1,965,888	1,746,009
PROVISION FOR INCOME TAX	22	189,539	186,787	344,378	319,792
NET INCOME		P931,543	P822,397	P1,621,510	P1,426,217
BASIC AND DILUTED EARNINGS PER SHARE	24	P0.06	P0.06	P0.11	P0.10

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In Thousands)

	Six-Month Period Ended June 30		
	Note	2025	2024
CAPITAL STOCK			
Balance at beginning and end of the six-month period	16	P1,450,875	P1,450,875
ADDITIONAL PAID-IN CAPITAL			
Balance at beginning and end of the six-month period	16	25,447,900	25,447,900
RETAINED EARNINGS			
Balance at beginning of the six-month period		11,327,400	9,239,428
Net income for the six-month period		1,621,510	1,426,217
Dividend declaration during the six-month period		(1,741,050)	(1,450,874)
Balance at end of six-month period		11,207,860	9,214,771
EQUITY ADJUSTMENTS FROM COMMON CONTROL TRANSACTIONS		(20,848,500)	(20,848,500)
Balance at beginning and end of the six-month period	5		-
ACCUMULATED REMEASUREMENTS ON RETIREMENT BENEFITS			
Balance at beginning and end of the six-month period	21	(528)	428
CUMULATIVE TRANSLATION ADJUSTMENT			
Balance at beginning and end of six-month period		27,500	2,323
Foreign currency translation adjustment during the six-month period		(8,080)	2,593
Balance at end of six-month period	11	19,420	4,916
OTHER RESERVES			
Balance at beginning of the six-month period		(1,392)	(1,806)
Share in other comprehensive income of an associate during the six-month period		(24)	414
Balance at end of six-month period	11	(1,416)	(1,392)
		P17,275,611	P15,268,998

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(In Thousands)

		Six-Month Periods Ended June 30	
	<i>Note</i>	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		P1,965,888	P1,746,009
Adjustments for:			
Share in net income of a joint venture and an associate	11	(227,996)	(108,322)
Depreciation and amortization	10, 18, 20	44,164	33,799
Interest income	6, 19	(115,745)	(53,039)
Unrealized foreign exchange losses - net		80,421	2,804
Interest expense	14, 19, 20	12,152	1,378
Retirement benefit costs	21	2,199	1,791
Operating income before working capital changes		1,761,083	1,624,420
Decrease (increase) in:			
Trade and other receivables		1,623,284	1,432,252
Inventories		602,247	(519,927)
Prepaid expenses and other current assets		(1,429,930)	(1,166,106)
Increase (decrease) in trade and other payables		583,346	1,367,193
Cash generated from operations		3,140,030	2,737,832
Income taxes paid		(533,633)	(418,920)
Interest received	6, 19	115,745	53,039
Retirement benefits paid		-	(367)
Net cash from operating activities		2,722,142	2,371,584
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property and equipment	10	(5,958)	(8,368)
Decrease (Additions) to other noncurrent assets	12	(1,123)	9,807
Net cash used in investing activities		(7,081)	1,439

Forward

	Six-Month Periods Ended June 30		
	Note	2025	2024
CASH FLOWS FROM FINANCING ACTIVITIES			
Payments of:			
Dividends	16	(1,740,799)	(2,568,049)
Lease liabilities - principal portion	20	(36,544)	(28,592)
Loans payable	14	(120,000)	-
Interest	20	(12,152)	(1,378)
Net cash used in financing activities		(1,909,495)	(2,598,019)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS		(3,083)	3,576
NET INCREASE IN CASH AND CASH EQUIVALENTS		802,483	(221,420)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE SIX-MONTH PERIOD		4,903,223	2,897,269
CASH AND CASH EQUIVALENTS AT END OF THE SIX- MONTH PERIOD	6	P5,705,706	P2,675,849

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS
(Amounts in Thousands, Except Par Value,
Per Share Data and Number of Shares)

1. Reporting Entity

The Keepers Holdings, Inc. (the “Parent Company” or “TKHI”) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on November 5, 1963, and its shares are listed in the Philippine Stock Exchange (PSE) on September 3, 1991. On June 30, 2021, the SEC approved the amendments to certain sections of the Parent Company’s Articles of Incorporation which include the extension of its corporate life into perpetual existence.

The principal activities of the Parent Company are to invest in, purchase, or otherwise acquire and own, hold, use, sell, assign, transfer, mortgage, pledge, exchange or otherwise dispose of real and personal property of every kind and description, including shares of stocks, bonds, debentures, notes, evidence of indebtedness and other securities or obligations of any corporation or corporations, association or associations, domestic or foreign, for whatever lawful purpose or purposes the same may have been organized and to pay therefore in money or by exchanging shares of stocks of the Parent Company or any other corporation, while the owner or holder of any such real or personal property, stocks, bonds, debentures, contracts or obligations, to receive, collect and dispose of the interest, dividends and income arising from such property; and to possess and exercise in respect thereof all the rights, powers and privileges of ownership, including all voting powers of any stock so owned; to carry on and manage the general business of any company.

The Parent Company operates as a holding company of the following subsidiaries, joint venture and associate (collectively referred to as “the Group”) as at June 30, 2025 and December 31, 2024:

Entity	Place of Incorporation	Percentage of Ownership	
		Direct	Indirect
Montosco, Inc. (MI)	Philippines	100%	-
Meritus Prime Distribution, Inc. (MPDI)	Philippines	100%	-
Premier Wine and Spirits, Inc. (PWSI)	Philippines	100%	-
Fertuna Distributions, Inc. (FDI) ^(a)	Philippines	100%	-
Upfront Distributions Corp. (UDC) ^(b)	Philippines	100%	-
Pernod Ricard Philippines, Inc. (Pernod)	Philippines	-	30%
Bodegas Williams and Humbert SA (Bodegas)	Spain	50%	-

(a) Started commercial operations in April 2023

(b) Newly incorporated in 2024.

MI, MPDI, PWSI and FDI are incorporated and registered with the Philippine SEC on August 13, 2008, February 17, 2010, June 19, 1996 and December 13, 2022, respectively. The subsidiaries engage primarily in buying, selling, importing, manufacturing, repackaging, preparing, bottling, and distribution on wholesale of all kinds of wines, spirits, liquors, beers and other alcoholic and non-alcoholic beverages and drinks.

UDC was incorporated and registered with the Philippine SEC on May 10, 2024. The principal activity of the Company is to carry on the business of buying, selling, distributing, marketing on wholesale and retail basis insofar as may be permitted by

law, all kinds of goods, wares, merchandise of every kind and description, and to enter into all kinds of contracts for export, import purchase, acquisition sale on wholesale and retail basis. The Company started commercial operations in December 2024.

MI, MPSI, PWSI, FDI and UDC are collectively referred to as “the Subsidiaries”.

Additional information on the joint venture and associate is disclosed in Note 11 of the consolidated financial statements.

As at June 30,2025 and December 31,2024, the Parent Company is 77.54%-owned by Cosco Capital, Inc. (Cosco), a company incorporated in the Philippines. As at June 30,2025 and December 31,2024, Cosco is the immediate and ultimate parent of the Group.

The Group’s respective registered office address and principal place of business are presented below:

	Registered Office and Principal Place of Business
TKHI	No. 900 Romualdez Street, Paco, Manila
MI	1501 Federal Tower, Dasmariñas Street, Binondo, Manila
MPDI	704 Federal Tower, Dasmariñas Street, Binondo, Manila
PWSI	Gate 1, Tabacalera Compound, 900 D. Romualdez Street, Paco, Manila
FDI	1204 Federal Tower, Dasmariñas Street, San Nicolas, Manila
UDC	701 Federal Tower, Dasmariñas Street, San Nicolas, Manila
Pernod	Units 509-P & 510-P Five E-com Center, Pacific Drive Extension, Mall of Asia Complex, Pasay City
Bodegas	Ctra Nacional IV Km 641, 11408 Jerez De La Frontera, Spain

2. Basis of Preparation

Statement of Compliance

The interim consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards. PFRS Accounting Standards are based on International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board. PFRS Accounting Standards which are issued by the Philippine Financial and Sustainability Reporting Standards Council, consist of PFRS, Philippine Accounting Standards (PAS), and Philippine Interpretations Committee based on the International Financial Reporting Interpretations Committee (IFRIC) interpretations.

Basis of Measurement

The interim consolidated financial statements have been prepared on a historical cost basis of accounting except for retirement benefits liability which is measured at the present value of the defined benefits obligation.

Basis of Consolidation

The interim consolidated financial statements include the accounts of the Parent Company, the Subsidiaries and the Group’s interests in a joint venture and an associate accounted for under the equity method of accounting. Subsidiaries are fully consolidated from the date that control commences until the date that control ceases.

A change in ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

Subsidiaries

A subsidiary is an entity controlled by the Group. The Group controls an entity if, and only if, the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. The financial statements of the subsidiaries are included in the consolidated financial statements from the date that control commences until the date that such control ceases.

The interim financial statements of the liquor entities are prepared for the same financial reporting period as the Parent Company, using uniform accounting policies for like transactions and other events in similar circumstances.

All intra-group balances, transactions, income, and expenses resulting from intra-group transactions are eliminated in full.

Functional and Presentation Currency

The interim consolidated financial statements are measured using the currency of the primary economic environment in which the Group operates. The interim financial statements are presented in Philippine peso, which is also the Parent Company's functional currency. All amounts are rounded to the nearest thousands, except par value, per share data, number of shares and when otherwise indicated.

Authorization for Issuance of the Consolidated Financial Statements

The accompanying consolidated financial statements of the Group as at June 30, 2025 were approved and authorized for issuance by the Group's BOD on August 4, 2025.

3. Summary of Material Accounting Policies

The accounting policies set out below have been applied consistently to all periods presented in these interim consolidated financial statements.

Statements of Cash Flows

The Group has chosen to prepare the interim consolidated statements of cash flows using the indirect method, which presents cash flows from operating activities as the income from operations adjusted for non-cash transactions, deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows. Interest paid on loans is presented as a financing activity. The Group has chosen to present dividends paid to its stockholders as a financing activity cash flow. In the cash flow statements, the Group has classified the principal portion of lease payments, as well as the interest portion, within financing activities. Variable lease payments not included in the measurement of the lease liability are classified as cash flows from operating activities.

Common Control Business Combinations

Business combinations involving entities under common control are business combinations in which all entities are controlled by the same party both before and after the business combination. The Group accounts for such business combinations using the pooling of interest method.

In applying the pooling of interest method, the Group follows Philippine Interpretations Committee Question and Answer No. 2012-01, *PFRS 3.2 - Application of the Pooling of Interests Method for Business Combinations of Entities under Common Control in Consolidated Financial Statements*, which provides the following guidance:

- The assets and liabilities of the acquired company for the reporting period in which the common control business combinations occur, are included in the Group's interim consolidated financial statements at their carrying amounts. No adjustments are made to reflect the fair values or recognize any new assets or liabilities at the date of the combination that otherwise would have been done under the acquisition method. The only adjustments that are made are those adjustments to harmonize accounting policies between the combining entities;
- No 'new' goodwill is recognized as a result of the business combination. Any difference between the consideration paid or transferred and the equity 'acquired' is presented as "Equity adjustments from common control transactions" account in the interim consolidated statement of financial position;
- The interim consolidated statements of comprehensive income reflect the results of the combining entities for the full year, irrespective of when the combination took place; and
- Comparatives are presented as if the entities had always been combined.

Additional information is disclosed in Note 11 to the interim consolidated financial statements.

Financial Instruments

Date of Recognition

The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases and sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized on the settlement date.

Initial Recognition of Financial Instruments

Financial instruments are recognized initially at fair value. The initial measurement of financial instruments, except for those financial assets and financial liabilities classified or designated at fair value through profit or loss (FVTPL), includes transaction costs. Trade receivables without a significant financing component are initially measured at the transaction price.

Classification and Measurement of Financial Instruments

On initial recognition, the Group classifies its financial assets in the following categories: measured at amortized cost, financial assets at FVTPL and financial assets at fair value through other comprehensive income (FVOCI). The classification depends on the business model for managing the financial assets and the contractual terms of its cash flows.

The Group classifies its financial liabilities as either financial liabilities at amortized cost or financial liabilities at FVTPL. The Group classifies all financial liabilities at amortized cost.

Financial Assets at Amortized Cost

A financial asset is measured at amortized cost if it is held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

Included in this category are the Group's cash in banks, cash equivalents, trade and other receivables and refundable deposits.

Financial Liabilities at Amortized Cost

This category pertains to financial liabilities that are not held for trading or designated as at FVTPL upon inception of the liability. These include liabilities arising from operations or borrowings. The financial liabilities are recognized initially at fair value and subsequently carried at amortized cost, taking into account the impact of applying the effective interest rate method of amortization for any related premium, discount and any directly attributable transaction costs. These financial liabilities are included in current liabilities if maturity is within twelve months from reporting date.

Otherwise, these are classified as noncurrent liabilities.

This category includes the Group's trade and other payables (excluding statutory obligations), due to related parties, loans payable, dividends payable and lease liabilities as at June 30, 2025 and December 31, 2024.

Impairment of Financial Assets

The Group measures loss allowances at an amount equal to lifetime expected credit losses (ECLs), except for debt securities that are determined to have low credit risk at the reporting date and other debt securities and bank balances for which credit risk has not increased significantly since initial recognition, which are measured at 12-month ECLs.

Loss allowances for trade and other receivables and refundable deposits are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due. The Group considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realizing security (if any is held) or the financial asset is more than 90 days past due on any material credit obligation to the Group. The Group has access to historical evidence that demonstrates a correlation between significant increases in the risk of a default occurring and financial assets on which payments are more than 90 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument. The 12-month ECLs are a portion of lifetime ECLs that represents the ECLs resulting from default events on the financial instrument that are possible within 12 months after the reporting date or a shorter period if the expected life of the instrument is less than 12 months.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

ECLs are probability weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e., the difference between the cash flows due to the Group in accordance with the contract and the cash flows that

the Group expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Group assesses whether financial assets carried at amortized cost are credit impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the significant financial difficulty of the borrower or issuer, a breach of contract such as default, the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise, when it is probable that the borrower will enter bankruptcy or other financial reorganization, or the disappearance of an active market for a security because of financial difficulties.

Loss allowances for financial assets measured at amortized cost are deducted from the gross carrying amount of assets.

Financial assets are written off when there is no reasonable expectation of recovery. The Group categorizes financial assets recorded at amortized cost for write-off when a debtor fails to make payments or when it is probable that the receivable will not be collected. Where amortized cost of financial assets has been written off, the Group continues to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognized in profit or loss.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that the market participants would use when pricing the asset or liability, assuming that the market participants act in their economic best interest.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

As at June 30, 2025 and December 31, 2024, no financial asset or financial liability was carried at fair value. The Group has no other assets or liabilities with recurring and non-recurring fair value measurements.

Inventories

Inventories, which consist of spirits, wines, and specialty beverages, are valued at the lower cost and net realizable value (NRV). The landed cost of inventories on hand is comprised of purchase price, duties, excise tax, transport and handling costs and other costs incurred in bringing them to their present location and condition less discounts and rebates. Cost of inventories in-transit is comprised of purchase price. Cost is determined using the first-in, first-out method.

NRV represents the estimated selling price less costs to be incurred in marketing, selling and distribution. In determining the NRV, the Group considers any adjustment necessary to write-down inventories to NRV for slow-moving and near expiry products based on physical inspection and management evaluation.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation and amortization and any impairment in value. The initial cost of items of property and equipment consists of its purchase price, including import duties and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to profit or loss in the period the costs are incurred. In situations where it can be clearly demonstrated that the expenditure has resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of the item of property and equipment.

Depreciation and amortization are computed on a straight-line basis over the estimated useful lives of the assets as follows:

	Number of Years
Transportation and delivery equipment	3 - 5
Leasehold improvements	3 - 5 or lease term, whichever is shorter
Office equipment	2 - 3
Furniture and fixtures	2 - 3
Computer software license	2
Machinery and equipment	3

Depreciation and amortization of an item of property and equipment begins when it becomes available for use, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Depreciation or amortization ceases at the earlier of the date that the item is classified as held for sale (or included in a disposal group that is classified as held for sale) in accordance with

PFRS 5, *Noncurrent Assets Held for Sale and Discontinued Operations*, and the date the asset is derecognized.

The estimated useful lives and depreciation and amortization method are reviewed periodically to ensure that the periods and methods of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

Any change in the estimated useful lives and methods of depreciation and amortization are adjusted prospectively from the time the change was determined necessary.

Fully depreciated assets are retained in the accounts until they are no longer in use and no further depreciation is recognized in profit or loss. When assets are retired or otherwise disposed of, the cost and the related accumulated depreciation and amortization and any impairment in value are removed from the accounts and any resulting gain or loss arising from retirement or disposal of property and equipment (calculated as the difference between the net proceeds and the carrying amount of the item) is recognized in the consolidated statements of profit or loss.

Intangible Asset

Intangible assets pertain to trademarks which was acquired separately and measured on initial recognition at cost. The cost of intangible assets is the fair value at the date of acquisition. Following initial recognition, intangible assets with indefinite useful life are carried at cost less any impairment losses.

Investments in Joint Venture and an Associate

Investments in joint arrangements are classified as either joint operations or joint ventures depending on the contractual rights and obligations each investor has rather than the legal structure of the joint arrangement. Joint operations arise where the Group has both rights to the assets and obligations for the liabilities relating to the arrangement and, therefore, the Group accounts for its share of assets, liabilities, revenue and expenses. Joint ventures arise where the Group has rights to the net assets of the arrangement.

An associate is an entity over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Significant influence is defined as the power to participate in the financial and operating policy decisions of the entity but not control or joint control over those policies. An associate is accounted for using the equity method. A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investment in joint venture and associate is accounted for using the equity method. The investment in joint venture and associate are initially recognized at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated statements of comprehensive income include the Group's share in net income and OCI of the joint venture and associate, until the date on which significant influence or joint control ceases.

An investment is accounted for using the equity method from the date on which it becomes a joint venture or an associate. On acquisition of the investment, any difference between the cost of the investment and the entity's share of the net fair value of the investee's identifiable assets and liabilities is accounted for as follows:

- a. Goodwill relating to a joint venture and an associate is included in the carrying amount of the investment. Amortization of that goodwill is not permitted.

- b. Any excess of the entity's share of the net fair value of the investee's identifiable assets and liabilities over the cost of the investment is included as income in the determination of the entity's share of the joint venture or associate's net income or loss in the period in which the investment is acquired.

Unrealized gains arising from transactions with associate and joint venture are eliminated to the extent of the Group's interest in the associate. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment. Distributions and dividends from the investee reduce the carrying amount of the investment.

The Group discontinues applying the equity method when its investment in the investee company is reduced to zero. Accordingly, additional losses are not recognized unless the Group has guaranteed certain obligations of the investee company. When the investee company subsequently reports net income, the Group will resume applying the equity method but only after its share in net income equals the share in net losses not recognized during the period when the equity method was suspended.

The accounting policies of the joint venture and associate conform to those used by the Group for like transactions and events in similar circumstances.

Impairment of Noncurrent Nonfinancial Assets

The Group assesses at the end of each reporting period whether there is an indication that its non-current non-financial assets which include right-of-use assets, property and equipment and investment in joint venture and associate may be impaired. If any such indication exists and where the carrying amount exceeds the estimated recoverable amount, the assets or the cash generating unit (CGU) are written down to their recoverable amounts. The recoverable amount of the non-current non-financial assets is the greater of fair value less cost to sell and value-in-use. The fair value less cost to sell is the amount obtainable from the sale of an asset in an arm's length transaction. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs.

Impairment losses, if any, are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase. After such a reversal, the depreciation and amortization charge are adjusted in future periods to allocate the asset's revised carrying amount on a systematic basis over its remaining useful life.

Capital Stock and Additional Paid-in Capital

Capital stock and additional paid-in capital are classified as equity. The proceeds from the issuance of common shares are presented in equity as capital stock to the extent of the par value of the issued and outstanding shares and any excess of the proceeds over the par value of the shares issued, less any incremental costs directly attributable to the issuance, net of tax, is presented in equity as additional paid-in capital.

Transaction costs that are related jointly to more than one transaction are allocated to those transactions using a basis of allocation that is rational and consistent with similar transactions.

Retained Earnings

Retained earnings represent the cumulative balance of periodic net income or loss, dividend contributions, correction of prior year errors, effect of changes in accounting policy and other capital adjustments.

Appropriated retained earnings are accumulated earnings set aside by the BOD for a specific purpose. Unappropriated retained earnings are the residual amount of retained earnings after appropriation.

Equity Adjustment from Common Control Transactions

Equity adjustment from common control transactions is the difference between the acquisition cost of an entity under common control and the Parent Company's proportionate share in the net assets of the entity acquired as a result of a business combination accounted for using the pooling-of-interest method. Equity adjustment from common control transactions is derecognized when the subsidiary is deconsolidated, which is the date on which the control ceases.

Dividends on Common Shares

Dividends on common shares are recognized as liability and deducted from equity when approved by the BOD of the Group. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Revenue Recognition

Revenue from contracts with customers is recognized upon transfer of goods to the customer at an amount that reflects the consideration the Group expects to be entitled in exchange for those goods. The Group concluded that it is acting as principal for the revenue arrangement below.

The following specific recognition criteria must also be met before revenue is recognized:

Sale of Spirits, Wines and Specialty Beverages

Revenue from sale of spirits, wines and specialty beverages is recognized at the point in time when control of the asset is transferred to the customer, generally upon delivery. Revenue is recognized net of discounts, rebates, listing fees/display allowances and certain payments to customers after the initial sale of goods as reduction to revenue, unless it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated is subsequently resolved. Invoices are generated at the time of delivery and are usually due within 30 to 60 days.

Trade receivable is recognized by the Group when the goods are delivered to the customer as this represents the point in time at which the right to consideration becomes unconditional, as only the passage of the time is required before payment is due.

Contract Liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Group performs under the contract.

The Group enter transactions with customers where contract liabilities result from consideration being received from the customer prior to the Group satisfying its performance obligations. These contract liabilities are presented as “Advances from customers” under “Trade and other payables” in the consolidated statements of financial position.

Interest Income

Interest income is recognized in profit or loss as it accrues, taking into account the effective yield on the asset.

Other Income

Other income is recognized as earned.

Cost and Expense Recognition

Costs and expenses are decreases in economic benefits during the accounting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. Expenses are generally recognized when the services are used or the expenses are incurred.

Cost of Goods Sold

Cost of goods sold is recognized when goods are shipped to the buyer. This includes the direct cost of sold inventories, taxes, duties and shipping costs and adjustments for losses and obsolete inventory.

Operating Expenses

Operating expenses are costs incurred to sell or distribute and to administer the business. These are recognized as expenses when it is probable that a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has occurred and the decrease in economic benefits can be measured reliably.

Employee Benefits

Short-term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of the past service provided by the employee and the obligation can be estimated reliably.

Retirement Benefits Liability and Costs

The Group has an unfunded, noncontributory defined benefits retirement plan covering substantially all permanent, regular and full-time employees. The Group's obligation in respect of the defined benefits is calculated by estimating the amount of the future benefits that employees have earned in the current and prior period and discounting that amount.

The calculation of defined benefits obligations is performed on a periodic basis by a qualified actuary using the projected unit credit method.

Remeasurements of the retirement benefits liability, which comprise of actuarial gains and losses, are recognized immediately in other comprehensive income. The Group determines the interest expense on the retirement benefits liability for the period by applying the discount rate used to measure the retirement benefits liability at the beginning of the annual period to the then retirement benefits liability, taking into account any changes in the retirement benefits liability during the period as a result of benefit payments, if any. Interest expense and other expenses related to defined benefits plans are recognized in profit or loss.

When the benefits of the plan are changed or when the plan is curtailed, the resulting change in benefit that relates to past service or gain or loss on curtailment is recognized immediately in profit or loss. The Group recognizes gains or losses on the settlement of defined benefits plans when the settlement occurs.

Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether:

- the contract involves the use of an identified asset - this may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Group has the right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and,
- the Group has the right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either:
 - the Group has the right to operate the asset; or
 - the Group designed the asset in a way that predetermines how and for what purpose it will be used.

At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

Group as Lessee

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently amortized using the straight-line method from the commencement date to the end of the lease term unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case, the right-of-use asset will be amortized over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment loss, if any, and adjusted for certain remeasurements of the lease liability. The right-of-use asset is presented as a separate line item in the consolidated statement of financial position.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following: (a) fixed payments, including in-substance payments; (b) variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date; (c) amounts expected to be payable under a residual value guarantee; and, (d) the exercise price under a purchase option the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate; if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee; or, if the Group changes its assessment of whether it will exercise a purchase, extension, or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term Leases

The Company has elected not to recognize right-of-use assets and lease liabilities for short term leases. The Company recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Income Taxes

Provision for income tax is composed of current income tax and deferred income tax. Provision for income tax is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income, in which case, it is recognized directly in equity or in other comprehensive income.

Current Income Tax

Current income tax assets and current income tax liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used as basis to compute the amount are those that have been enacted or substantively enacted at the reporting date.

Uncertainties related to taxes that are not income taxes are recognized and measured in accordance with PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* unless they are dealt with specifically in another standard.

Deferred Income Tax

Deferred income tax is provided, using the balance sheet liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences. Deferred income tax assets are recognized for all deductible temporary differences and carryforward benefits of unused net operating loss carryover (NOLCO) to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences and the carryforward benefits of unused NOLCO can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred income tax assets to be

utilized. Unrecognized deferred income tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred income tax assets to be recovered.

Deferred income tax assets and deferred income tax liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to offset current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Segment Reporting

An operating segment is a component of an entity that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity), whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

The Group determines and presents operating segments based on the information that is internally provided to the Chairman and President, collectively as the Group's chief operating decision maker. The Group has single segment, which is the sale of sale of spirits, wines and specialty beverages to customers.

The measurement policies of the Group used for segment reporting under PFRS 8, *Operating Segments* are the same as those used in the consolidated financial statements. There have been no changes in the measurement methods used to determine reported segment profit or loss from prior periods.

Basic and Diluted Earnings Per Share (EPS)

Basic EPS is computed by dividing the net income for the period by the weighted average number of common shares outstanding during the period, with retroactive adjustment for any stock dividends declared.

Diluted EPS is computed in the same manner, adjusted for the effect of all potential dilutive debt or equity instruments.

Foreign Currency Denominated Transactions and Translation

Transactions in foreign currencies are recorded using the functional currency exchange rate at the date of transaction. Outstanding monetary assets and monetary liabilities denominated in foreign currencies are translated using the closing exchange rate at the reporting date. All differences are taken to profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Philippine peso at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Philippine peso at the exchange rates at the date of transactions. Foreign currency differences are recognized in OCI and accumulated in the cumulative translation adjustments.

When a foreign operation is disposed of in its entirety or partially such that significant influence or joint control is lost, the cumulative amount in the cumulative translation

adjustments related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. When the Group disposes of only part of an associate or joint venture while retaining significant influence or joint control, the relevant proportion of the cumulative translation adjustments is reclassified to profit or loss.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable (i.e., more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of the provision to be reimbursed, the reimbursement is recognized as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in profit or loss, net of reimbursement. If the effect of the time value of money is material, provisions are discounted using the current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements but are disclosed in the notes to consolidated financial statements unless the outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

Events After the Reporting Date

Events after the reporting date that provide additional information about the Group's financial position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Events after the reporting date that are not adjusting events are disclosed in the notes to consolidated financial statements when material.

4. Management's Use of Judgments, Accounting Estimates and Assumptions

The preparation of the interim consolidated financial statements requires management to exercise judgments, make accounting estimates and use assumptions that affect reported amounts of assets, liabilities, income and expenses and related disclosures. Future events may occur which will cause the assumptions used in arriving at the accounting estimates to change. The effects of any change in accounting estimates are reflected in the consolidated financial statements as they become reasonably determinable.

Accounting judgments, estimates and assumptions are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimation, which has the most significant effect on the amounts recognized in the consolidated financial statements of the Group.

Determination of the Group's Functional Currency

The Group considers factors, including but not limited to, the currency that mainly influences sales prices of its goods and the currency in which receipts from operating activities are usually retained. Based on the economic substance of the underlying

circumstances relevant to the Group, the functional currency has been determined to be the Philippine peso. It is the currency that mainly influences the Group's operations.

Identifying a Lease

The Group uses its judgment in assessing that a contract is, or contains, a lease when the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. The Group has the right to control the asset if it has the right to obtain substantially all of the economic benefits from use of the identified asset and the right to direct the use of the identified asset. The Group reassesses whether a contract is, or contains, a lease only if the terms and conditions of the contract are changed.

As a Lessee.

The Group has entered into various contracts for the lease of warehouse space. The Group has determined that it has the right to control the use of the identified assets over their respective lease terms (see Note 20).

Determining the Term and Discount Rate of Lease Arrangements

Where the Group is the lessee, management is required to make judgments about the lease term and the appropriate discount rate to calculate the present value of the lease payments.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases entered into by the Group as lessee, management uses the incremental borrowing rate, being the rate that the Group would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group uses an approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Group and makes adjustments specific to the lease. The weighted average rate applied ranges from 4.68% to 6.78%.

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if it is reasonably certain that the lease will be extended (or not terminated) and, as such, included within lease liabilities.

For leases of office space and warehouse, the following factors are usually the most relevant:

- If any leasehold improvements are expected to have a significant remaining value, the Group is typically reasonably certain to extend (or not terminate).
- If there are significant penalties to terminate (or not extend), the Group is typically reasonably certain to extend (or not terminate).
- Otherwise, the Group considers other factors, including historical lease durations, the costs and business disruption required to replace the leased asset, enforceability of the option, and business and other developments.

The lease term is reassessed if an option is actually exercised (or not exercised) or the Group becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and is within the lessee's

control, for example, when significant investment in the warehouse and office space is made which has a useful life beyond the current lease term.

Recognition of Revenue

The Group uses its judgment in determining the timing of the transfer of control on the goods that it delivered. The Group determined that the control is transferred for sale of goods when the Group has transferred physical possession of the goods and obtained the right to payment for the goods which is upon the customer's acceptance of the goods at the customer's warehouse.

Classification of Joint Arrangements

The Group classifies a joint arrangement as a joint operation or a joint venture depending on the rights and obligations of the parties in the arrangement. A joint operation is a joint arrangement, whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement (joint operators). A joint venture is a joint arrangement, whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement (joint venturers).

The Group classifies its joint arrangement as joint venture and assessed that it has the rights to the net assets of the arrangement.

Accounting Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are described below:

Allowance for ECLs on Trade and Other Receivables and Refundable Deposits

The Group uses the ECL model in estimating the level of allowance which includes forecasts of future events and conditions. A credit loss is measured as the present value of all cash shortfalls (the difference between the cash flows due to the Group in accordance with the contract and the cash flows that the Group expects to receive). The model represents a probability-weighted estimate of the difference over the remaining life of the trade and other receivables. The maturity of the Group's trade and other receivables is less than one year so the lifetime ECLs and the 12-month ECLs are similar. In addition, management assessed that the credit risk for its trade and other receivables as at the reporting date is low, therefore the Group did not have to assess whether a significant increase in credit risk has occurred.

ECLs of refundable deposits has been measured on a lifetime expected credit loss basis. In determining the ECL of refundable deposits, the Group considers the counterparties' financial condition and their capacity to return the amounts due. The Group assessed that the credit risk for the outstanding refundable deposits is low as majority of these are transacted with a counterparty that has a good credit standing.

An increase in the allowance for ECLs would increase the recorded operating expenses and decrease current assets.

The combined carrying amounts of trade and other receivables and refundable deposits amounted to P1,427,442 and P2,869,062 as at June 30, 2025 and December 31, 2024, respectively (see Notes 7, 12 and 25). The allowance for ECLs amounted to P2,621 as at June 30, 2025 and December 31, 2024.

Determination of NRV of Inventories

The Group's estimates of the NRV of inventories are based on the most reliable evidence available at the time the estimates are made, of the amount that the

inventories are expected to be realized. These estimates consider the inventory obsolescence, physical deterioration, fluctuations of price or cost directly relating to events occurring after the end of the period to the extent that such events confirm conditions existing at the end of the period. A new assessment is made at NRV in each subsequent period. When the circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in NRV because of changes in economic circumstances, the amount of the write-down is reversed so that the new carrying amount is the lower of the cost and the revised NRV.

The carrying amounts of inventories as at June 30, 2025 and December 31, 2024 amounted to P5,274,504 and P5,876,751 respectively (see Note 8). No allowance to reduce inventory to NRV was recognized for the periods ended June 30, 2025 and December 31, 2024.

Estimation of Useful Lives of Property and Equipment and Right-of-Use Assets

The Group estimates the useful lives of property and equipment and right-of-use assets based on the period over which these assets are expected to be available for use. The estimated useful lives of property and equipment and right-of-use assets are reviewed periodically and are updated if expectations differ from previous estimates due to asset utilization, internal technical evaluation, technological changes, environmental and anticipated use of the assets tempered by related industry benchmark information. It is possible that future financial performance could be materially affected by changes in these estimates brought about by changes in the factors mentioned. Any reduction in the estimated useful lives of the property and equipment would increase depreciation and amortization expense and decrease noncurrent assets.

The estimated useful lives of property and equipment and right-of-use assets are discussed in Note 3 to consolidated financial statements. There is no change in the estimated useful lives of property and equipment for the periods ended June 30, 2025 and December 31, 2024.

The combined carrying values of right-of-use assets and property and equipment as at June 30, 2025 and December 31, 2024 amounted to P288,064 and P72,242, respectively (see Notes 10 and 20).

Impairment of Intangible Asset with Indefinite Life

The Group determines whether intangible with indefinite life is impaired at least annually. This requires the estimation of their recoverable amounts. Estimating recoverable amounts require management to make an estimate of the expected future cash flows from cash-generating unit to which they relate and to choose suitable discount rate to calculate the present value of those cash flows.

For the six-month periods ended June 30, 2025 and 2024, no impairment loss was recognized on the Group's intangible asset.

The carrying amount of intangible with indefinite life is P7,000 as at June 30, 2025 and December 31, 2024 (see Note 12).

Impairment of Noncurrent Nonfinancial Assets

The Group assesses at the end of each reporting period whether there is any indication that its noncurrent nonfinancial assets which pertain to right-of-use assets, property and equipment and investments in a joint venture and an associate are impaired. If any such indication exists, the Group estimates the recoverable amount of these assets. Determining the fair value of these non-current non-financial assets which requires the determination of the future cash flows expected to be generated from the

continued use and ultimate disposition of such assets, requires the Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause management to conclude that these assets are impaired. Any resulting impairment loss could have a material adverse impact on the Group's consolidated financial position and consolidated financial performance. The preparation of the estimated future cash flows involves significant judgment and estimations. While management believes that the assumptions made are appropriate and reasonable, significant changes in management assumptions may materially affect the assessment of recoverable values and may lead to future additional impairment charges under PFRS Accounting Standards.

For the six-month periods ended June 30, 2025 and 2024 no impairment loss was recognized on the Group's right-of-use assets, property and equipment and investments in an associate and a joint venture.

The combined carrying values of right-of-use assets, property and equipment and investments in a joint venture and an associate amounted to P5,915,956 and P5,679,052 as at June 30, 2025 and December 31, 2024, respectively (see Notes 10, 11 and 20).

Estimation of Retirement Benefits Liability and Costs

The cost of defined benefits retirement plans, as well as the present value of the retirement benefits obligation, is determined using actuarial valuations. The actuarial valuations involve making various assumptions. These include the determination of the discount rates, and future salary increases, among others. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefits obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting period.

The Group has retirement benefits liability amounting to P32,382 and P30,183 as at June 30, 2025 and December 31, 2024, respectively (see Note 21).

Recognition of Deferred Income Tax Assets

The Group reviews its deferred income tax assets at each reporting date and reduces the carrying amount to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred income tax assets to be utilized. The Group also reviews the expected timing and tax rates upon reversal of temporary differences and adjusts the impact on deferred income tax accordingly. The Group's assessment on the recognition of deferred income tax assets is based on the forecasted taxable income of the subsequent reporting periods. This forecast is based on the Group's past results and future expectations on revenues and expenses. While the Group believes that its assumptions are appropriate and reasonable, significant changes in these assumptions may materially affect the Group's assessment of the realizability of deferred income tax assets and may lead to future addition to the provision for deferred income tax.

The Group has recognized deferred income tax assets amounting to P6,259 and P6,404 as at June 30, 2025 and December 31, 2024, respectively (see Note 22).

For the six-month periods ended June 30, 2025 and 2024, MI elected to avail optional standard deduction (OSD) in its determination of allowable deductions for income tax purposes which is equivalent to 40% of total gross income. MI intends to continue its availment of OSD in the subsequent years.

As at June 30, 2025 and December 31, 2024, the Group has not recognized deferred income tax liability and deferred tax asset from temporary differences amounting to P169,295 and P24,361, respectively (see Note 22).

Provisions and Contingencies

The Group, in the ordinary course of business, sets up appropriate provisions for certain contractual and regulatory obligations, if any, in accordance with its policies on provisions and contingencies. In recognizing and measuring provisions, management takes risk and uncertainties into account.

The Group has no provision for probable losses as at June 30, 2025 and December 31, 2024. Moreover, no provision for probable losses was recognized by the Group for the period six-month periods ended June 30, 2025 and 2024 (see Note 23).

5. Business Combinations under Common Control

On February 19, 2021, the BOD approved the issuance of common shares of TKHI, which will be created and issued out of an increase in its authorized capital stock, in exchange for Cosco Capital, Inc.'s (Cosco) investments in Montosco, Inc. (MI), Meritus Prime Distributions, Inc. (MPDI) and Premier Wine and Spirits, Inc. (PWSI) (collectively referred to as "Subsidiaries" or "Liquor Entities"), under a Share Swap

The share swap transaction between TKHI and Cosco resulted into the strategic spin-off of the three (3) liquor subsidiaries of Cosco. Cosco has acquired a controlling interest to TKHI, a separately public listed company, as a result of the injection of these companies to TKHI.

The stockholders of TKHI approved the foregoing corporate actions in its annual stockholders meeting on May 28, 2021. On June 18, 2021, TKHI and Cosco signed a Deed of Exchange whereby Cosco Capital, Inc. shall transfer 100% of its shares in MI, MPDI and PWSI in exchange of 11,250,000,000 common shares at P2.00 per share.

On June 30, 2021, the SEC approved the increase in the Parent Company's authorized capital stock by virtue of the issuance to the Company of the Certificate of Approval of Increase of Capital Stock and Certificate of Filing of Amended Articles of Incorporation. The SEC also approved the other amendments to the Articles of Incorporation on the same date. As a result of the approval of the increase in the Parent Company's authorized capital stock, the issuance of the new shares to Cosco in exchange of 100% of the outstanding shares of MI, MPDI and PWSI (the "Share Swap Transaction") was completed. Consequently, the Parent Company became the legal and beneficial owner of the 100% outstanding shares each of MI, MPDI and PWSI, while Cosco obtained controlling interest in the Parent Company with an equity ownership of almost 98%. The acquisition of MI, MPDI and PWSI under a share swap transaction is considered to be a business combination of entities under common control as they are all under the common control of Mr. Lucio Co. before and after the acquisition.

Prior to June 30, 2021, TKHI was 85% owned by Invescap Incorporated ("Invescap"), a company that is incorporated in the Philippines. Cosco and Invescap are also companies controlled by Mr. Lucio Co before and after the acquisition.

With the approval of the increase in the Parent Company's authorized capital stock, the SEC consequently accepted and approved the transfer value of the shares of MI, MPDI and PWSI amounting to P22,500,000, the investment value of the Company in MI, MPDI and PWSI.

As the issuance of new shares to Cosco resulted in the Parent Company's public ownership level falling below the minimum twenty (20%) requirement under the SEC Memorandum Circular No. 13 Series of 2017 on the rules and regulations on minimum public ownership on initial public offering, the PSE suspended the trading of the Company's shares commencing July 8, 2021.

On September 8, 2021, the BIR issued the Electronic Certificate Authorizing Registration covering the Share Swap Transaction which confirms that the said transaction is exempt from capital gains tax.

Additional Listing of the Shares and Follow-on Public Offering

Following the increase in capital stock of the Parent Company and the Share Swap Transaction, the Parent Company's public ownership was reduced to 0.34%. On April 29, 2021, the Parent Company filed a request with the PSE for the grant of MPO Exemption Period for the minimum public float requirements of the PSE and the SEC (the "minimum public ownership (MPO) Rule") to commence from subscription by Cosco up to the completion of this Offer in order to comply with the minimum public ownership requirement of at least 20% public float upon and after listing. In its letter dated May 26, 2021, the PSE informed the Parent Company that it can only provide a relaxation of the MPO Rule to the end that the trading of the Company's shares will continue notwithstanding the public float being lower than the minimum public ownership required during the MPO Exemption Period if the following conditions concur: (i) the prior approval of the SEC on the grant of the exemption from the MPO Rule shall be first obtained by the PSE; and (ii) the Company secures a ruling/opinion from the Bureau of Internal Revenue ("BIR") for confirmation that Revenue Regulations No. 16-2012 will not apply during the MPO Exemption Period.

However, if subsequently the Parent Company's public ownership level decreases to below the MPO Rule minimum, then trading in the Company's shares may be suspended. Listed companies that become non-compliant with the minimum public ownership rules may be suspended from trading for a period of not more than six months and will automatically be delisted if they remain non-compliant after the lapse of the suspension period.

On July 14, 2021, the Parent Company filed a Registration Statement ("RS") with the SEC in accordance with the provisions of the Securities Regulation Code of the Philippines (Republic Act No. 8799, the "SRC") for the registration of the Offer Shares. On July 19, 2021, the Parent Company filed its application for the listing and trading of offer shares with the PSE. On September 20, 2021, the Parent Company filed an amended Registration Statement which was rendered effective by SEC on October 7, 2021. The Permit to Sell ("PTS") of the Parent Company's Offer Shares was issued by SEC on November 3, 2021.

In compliance with Section 3 of the PSE Rules on Backdoor Listing, and Article V, Part A of the PSE Listing and Disclosure Rules on the Rule on Additional Listing of Shares, on August 19, 2021, the Company filed the application for listing with the PSE for additional shares of stock issued in connection with the increase of the capital stock and the Share Swap Transaction to comply with the PSE listing rules. The additional listing of shares without the conduct of a rights or public offering was approved by the stockholders on May 28, 2021.

Under BIR Revenue Regulations No. 16-2012, the sale, barter, transfer, and/or assignment of shares of listed companies that fail to meet the MPO Rule will be subject to capital gains tax and documentary stamp tax, unless temporary relief is granted and the trading suspension is not lifted. In line with the said ruling, any sale of the Offer Shares will be subject to capital gains tax and documentary stamp tax unless covered by a granted MPO exemption period, including the aforementioned confirmation by the BIR.

The Group recognized assets acquired and liabilities assumed at their carrying amounts in the individual financial statements of MI, MPDI and PWSI. No new goodwill was recognized in the consolidated financial statements. The difference between the

consideration paid or transferred and the net assets acquired is recognized under “Equity adjustments from common control transactions” account in the consolidated statement of changes in equity.

Adjustments from the retrospective application of business combination under common control follow:

a. *Share Swap Transaction*

Represents the issuance of 11,250,000,000 common shares of TKHI with a par value of P0.10 at P2.00 per share in exchange for Cosco’s investments in MI, MPDI and PWSI, under a Share Swap Transaction as follows:

- 9,488,444,240 common shares of TKHI were swapped with 7,500,000 common shares of Cosco in MI;
- 907,885,074 common shares of TKHI were swapped with 7,500,000 common shares of Cosco in MPDI; and,
- 853,670,686 common shares of TKHI were swapped with 1,500,000 common shares of Cosco in PWSI.

The details of the share swap transaction follows:

	% of Ownership	Amount
Transfer value as approved by SEC:		
MI	100%	P18,976,888
MPDI	100%	1,815,771
PWSI	100%	1,707,341
		22,500,000
Less: Par value of the shares issued by TKHI		1,125,000
Additional paid-in capital		P21,375,000

b. *Elimination of Investments in MI, MPDI and PWSI*

Details of the elimination follows:

	MI	MPDI	PWSI	Total
Capital stock	P750,000	P750,000	P150,000	P1,650,000
Additional paid-in capital	-	-	1,500	1,500
Equity adjustments from common control transactions	18,226,888	1,065,771	1,555,841	20,848,500
Transfer value	(18,976,888)	(1,815,771)	(1,707,341)	(22,500,000)
	P -	P -	P -	P -

c. *Equity Adjustments from Common Control Transactions*

This account represents the excess of transfer value over the paid-in capital of MI, MPDI and PWSI. Details are as follows:

	MI	MPDI	PWSI	Total
Transfer value	(P18,976,888)	(P1,815,771)	(P1,707,341)	(P22,500,000)
Paid-in capital acquired	750,000	750,000	151,500	1,651,500
	(P18,226,888)	(P1,065,771)	(P1,555,841)	(P20,848,500)

d. *Elimination of Intercompany Transactions*

There were no transactions and balances to be eliminated as at and for the year ended December 31, 2021.

6. Cash and Cash Equivalents

This account consists of:

	Note	June 30, 2025	December 31, 2024
Cash on hand		P2,240	P2,283
Cash in banks	25	823,273	1,620,841
Cash equivalents	25	4,880,193	3,280,099
		P5,705,706	P4,903,223

Cash in banks earns interest at the respective bank deposit rates. Interest income earned from cash in banks which are recognized in profit or loss amounted to P601 and P433 for the six-month periods ended June 30, 2025 and 2024, respectively (see Note 19).

Cash equivalents pertain to short-term placements and earn interest at the prevailing short-term investment rates. Interest income earned from cash equivalents which are recognized in profit or loss amounted to P115,144 and P52,606 for the six-month periods ended June 30, 2025 and 2024, respectively (see Note 19).

7. Trade and Other Receivables

This account consists of:

	Note	June 30, 2025	December 31, 2024
Trade:			
Third parties		P766,677	P1,795,960
Related parties	15	399,680	783,100
Allowance for ECLs		(2,621)	(2,621)
		P1,163,736	2,576,439
Dividend receivable	15	199,140	181,410
Nontrade:			
Third parties		42,833	88,730
Related parties	15	2,198	2,872
		244,171	273,012
	25	P1,407,907	P2,849,451

Trade receivables are non-interest-bearing and are generally on a 30-to-60-day credit terms.

Nontrade receivables include receivables from suppliers for the reimbursements of expenses incurred by the Group for brand promotions. These are non-interest-bearing

and are generally on a 30-day credit terms.

ECLs on third party trade receivables in 2025 and 2024 is at P2,621.

8. Inventories

This account consists of:

	Note	June 30, 2025	December 31 2024
At landed cost (on hand):			
Spirits		P3,633,367	P4,349,257
Wines		343,736	330,105
Specialty beverages		77,323	89,893
Others		742	175
At invoice cost (in-transit):			
Spirits		1,200,672	1,092,392
Others		18,664	14,929
	17	P5,274,504	P5,876,751

Cost of inventories charged to "Cost of goods sold" amounted to P6,628,384, and P5,563,613 for the six-month periods ended June 30, 2025 and 2024, respectively (see Note 17).

For the six-month periods ended June 30, 2025 and 2024, no inventories were written down to their NRV.

9. Prepaid Expenses and Other Current Assets

This account consists of:

	June 30, 2025	December 31, 2024
Prepaid duties and taxes	P2,428,657	P984,989
Advances to suppliers	288,569	347,129
Input VAT	2,503	3,292
Prepaid import charges	1,840	2,647
Other prepaid expenses	69,391	22,972
	P2,790,960	P1,361,029

Prepaid duties and taxes include advance payment for excise taxes, customs duties and seals for purchased goods not yet received.

Advances to suppliers pertain to partial down payments made by the Group to suppliers which will be applied against future billings.

10. Property and Equipment

The movements and balances in this account are as follows:

	Transportation and Delivery Equipment	Leasehold Improvements	Office Equipment	Furniture and Fixtures	Computer Software License	Machinery and Equipment	Total
Cost							
January 1, 2023	51,929	30,760	10,268	3,996	4,621	1,299	102,873
Additions	9,574	335	1,846	-	4,961	18	16,734
Disposals	(3,684)	-	(109)	-	-	-	(3,793)
December 31, 2023	57,819	31,095	12,005	3,996	9,582	1,317	115,814
Additions	8,070	2,571	1,779	410	2,201	33	15,064
Disposals	(50)	-	-	-	-	-	(50)
December 31, 2024	65,839	33,666	13,784	4,406	11,783	1,350	130,828
Additions	-	219	350	145	2,226	3,018	5,958
Disposals	-	-	-	-	-	-	-
June 30, 2025	65,839	33,885	14,134	4,551	14,009	4,368	136,786
Accumulated Depreciation and Amortization							
January 1, 2023	35,264	21,837	8,850	3,970	2,923	1,241	74,085
Depreciation and amortization	7,048	5,458	1,525	16	2,476	38	16,561
Disposals	(3,684)	-	(109)	-	-	-	(3,793)
December 31, 2023	38,628	27,295	10,266	3,986	5,399	1,279	86,853
Depreciation and amortization	7,306	3,224	1,864	37	4,044	31	16,506
Disposals	(50)	-	-	-	-	-	(50)
December 31, 2024	45,884	30,519	12,130	4,023	9,443	1,310	103,309
Depreciation and amortization	3,564	936	610	111	1,535	535	7,291
Disposals	-	-	-	-	-	-	-
June 30, 2025	49,448	31,455	12,740	4,134	10,978	1,845	110,600
Net Book Value							
December 31, 2024	P19,955	P3,147	P1,654	P383	P2,340	P40	P27,519
June 30, 2025	P16,391	P2,430	P1,394	P417	P3,031	P2,523	P26,186

Depreciation and amortization expense for the six-month periods ended June 30, 2025 and 2024 was charged as part of "Operating Expenses" in profit or loss (Note 18).

11. Investments in a Joint Venture and an Associate

The details of this account are as follows:

	June 30, 2025	December 31, 2024
Joint venture	P5,225,658	P5,238,946
Associate	402,234	367,864
	P5,627,892	P5,606,810

Investment in Joint Venture

In September 14, 2022, the Parent entered into a Share Purchase Agreement to acquire 50% interest or 646,775 shares of Bodegas Williams & Humbert SA ("Bodegas") with a par value of €32 at €137.22 per share for €88,750 (equivalent to P5,062,512).

On such date, the Parent entered into a Shareholders' Agreement with Medina Portfolio, S.L.U., the owner of the remaining 50% shares of Bodegas, to regulate the joint ownership of Bodegas and joint participation of its governing bodies.

Bodegas was incorporated on October 11, 1974 under the name Luis Páez, S.A. It adopted its present name at an ordinary and extraordinary General Meeting of Shareholders held on June 22, 2004. Its principal place of business is at Carretera Nacional IV, km. 641.75, Jerez de la Frontera, Cádiz, Spain. Bodegas is engaged in all types of agricultural cultivation and operations, the import, export, acquisition, transformation, storage, packaging, industrialization, representation, sale and exploitation of all types of foodstuff and agricultural product and the manufacture of packaging for such products. It is also engaged in the preparation, production, manipulation, representation and wholesale or retail marketing, in Spain or abroad, of all types of food products, in particular alcoholic or non-alcoholic drinks and the distribution of said products.

The Group had initially prepared a provisional purchase price allocation in 2022. In 2023, the Group had finalized the amounts disclosed for the fair value of the purchased assets of Bodegas, including the recognition of goodwill.

The investment is accounted for using the equity method.

The following table summarizes the financial information of Bodegas, adjusted for fair value adjustments at acquisition and shows the reconciliation of the Group's share in net assets of such investee to the carrying amount of its investment as at June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
Balance at beginning of year	P5,238,946	P5,070,846
Share in net income, as adjusted	193,602	332,613
Dividends	(198,810)	(189,690)
Foreign currency translation adjustment	(8,080)	25,177
Balance at end of period	P5,225,658	P5,238,946

	June 30, 2025	December 31, 2024
Percentage Ownership Interest	50%	50%
Current assets	P6,822,287	P5,596,102
Noncurrent assets	2,142,901	2,155,530
Current liabilities	2,669,254	1,725,113
Noncurrent liabilities	175,599	211,891
Net Assets, As Recognized in the Financial Statements of Bodegas	6,120,335	5,814,628
TKHI's share of net assets	3,060,168	2,907,314
Goodwill	1,996,128	1,996,128
Excess of fair value over carrying amounts	490,374	514,972
Cumulative unrealized gross profit on unsold inventories	(161,366)	(227,092)
Cumulative translation adjustment	19,420	27,500
Foreign exchange differences	(179,066)	20,124
Carrying Amount of Investment in Joint Venture	P5,225,658	P5,238,946

The following table shows the Group's share in net income of the investee for the six-month periods ended June 30:

	2025	2024
Revenue	P3,825,881	P4,425,732
Net income for the six-month period	304,948	336,211
The Group's share in net income at 50%, as recognized in the financial statements of Bodegas	152,474	P168,106
Unrealized gross profit on unsold inventories	65,725	(35,417)
Depreciation of excess fair value at 50%	(24,597)	(22,166)
	P193,602	P110,523

Investment in Associate

PWSI entered into a Shareholders' Agreement and a Share Purchase Agreement with Pernod Ricard Asia S.A.S and Allied Netherlands B.V. for the purchase of the shares of stocks of Pernod Ricards Philippines, Inc. (Pernod) for EURO 2.10 million (equivalent to P126,957) in February 2019.

On September 11, 2024, the directors and stockholders of Pernod approved the increase in the Corporation's authorized capital stock from P500,000,000 divided into 5,000,000 with a par value of P100.00 to P1,250,000,000 divided into 12,500,000 shares with a par value of P100.00. On the same date, PWSI's share in capital stock from 946,875 shares to 2,250,000 shares was also approved.

As at June 30, 2025 and December 31, 2024, PWSI owns 30% of Pernod shares.

Pernod wholesales and distributes distilled spirits. Pernod offers neutral spirits and ethyl alcohol used in blended wines and distilled liquors. Pernod serves customers throughout the world. Its principal address is at 4-C Palm Coast Avenue One E-com Center Building, Pasay City, 1300.

The financial year end date of Pernod is June 30. This is the reporting date established on the articles of incorporation of the associate. This is also the reporting date adopted by its parent company, Pernod Ricard Asia S.A.S. and its ultimate parent company, Pernod Ricard S.A.

The following table summarizes the financial information of Pernod and shows the reconciliation of the Group's share in net assets of such investee to the carrying amounts of its investment as at June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
Balance at beginning of year	P367,864	P143,687
Additional investment	-	225,000
Share in net income (loss)	34,394	(1,237)
Share in other comprehensive income	(24)	414
Balance at end of year	P402,234	P367,864

	June 30, 2025	December 31, 2024
Percentage Ownership Interest	30%	30%
Current assets	P1,697,894	P1,703,210
Noncurrent assets	221,295	226,303
Current liabilities	580,040	707,581
Noncurrent liabilities	43,272	40,621
Net Assets	1,295,877	1,181,311
PWSI's share of net assets	388,763	354,393
Goodwill	13,471	13,471
Carrying Amount of Investment in Associate	P402,234	P367,864

The following table shows the Group's share in net income (loss) of investee for the six-month periods ended June 30:

	2025	2024
Revenue	P963,673	P897,811
Net income (loss) for the six-month period	114,647	(7,337)
The Group's share in net income (loss) at 30%	34,394	(P2,201)
Other Comprehensive Income (Loss)	(83)	-
The Group's share in other comprehensive income (loss) at 30%	(24)	-

12. Other Noncurrent Assets

This account consists of:

	Note	June 30, 2025	December 31, 2024
Excess tax credits		P47,758	P29,695
Refundable deposits	20, 25	19,535	19,611
Input VAT		11,203	10,308
Trademark		7,000	7,000
Others		349	46
		P85,845	P66,660

Excess tax credits pertain to prepaid taxes carried over from previous taxable years.

Trademark arise from the acquisition of cocktail mixer brand, "Island Mixers" acquired

by MI on January 30, 2023. The Group believes that there is currently no foreseeable limit to the period over which the trademark is expected to generate net cash inflows and therefore is assessed to have an indefinite useful life.

13. Trade and Other Payables

This account consists of:

	Note	June 30, 2025	December 31, 2024
Trade payables:			
Related parties	15	P2,347,090	P1,400,616
Third parties		103,910	162,824
Non-trade payables:			
Third parties		289,655	462,562
Related parties	15	20,294	40,911
Advances from customers		214,274	2,591
Statutory obligations		197,552	440,590
Accrued expenses		72,748	73,749
	25	P3,245,523	P2,583,843

Trade payables are unsecured, non-interest-bearing and are generally on a 30-to-60-day payment terms.

Non-trade payables are amounts owed to non-trade suppliers such as manpower agencies, freight companies and other non-trade payment transactions. These are non-interest-bearing and are generally on a 30-day payment terms.

Advances from customers consists of amounts paid by the customers in which inventories were not yet delivered by the Group.

Accrued expenses consist of accruals for utilities, advertisement and other operating expense.

14. Loans Payable

The movements and balances in loans payable are as follows:

	Note	June 30, 2025	December 31, 2024
Balances at beginning of year		P260,000	P -
Availment of loan		-	280,000
Payments made		(120,000)	(20,000)
Balances at end of year	25, 27	P140,000	P260,000

On September 18, 2024, PWSI entered into unsecured 5-year loan with Metro Bank & Trust Co. which shall mature on August 23, 2029, with option to pre-pay, amounting to P280,000 with annual interest rate of 5.5%. Proceeds of the loan was used to fund additional investments to Pernod and for working capital requirements. The loan has no required financial and non-financial covenants that needs to be complied with.

Interest expense recognized in profit or loss amounted to P5,258 and nil for the six-month periods ended June 30, 2025 and 2024, respectively (see Note 19).

15. Related Party Transactions

Transactions for the six-month periods ended June 30, 2025 and 2024 and account balances with related parties as at June 30, 2025 and December 31, 2024 are as follows:

Category/Transaction	Note	Year	Transactions During the Period	Outstanding Balance		Terms	Conditions
				Receivable	Payable		
Stockholders							
Dividends	16	2025	P1,350,000	P -	P -	Due and demandable	Unsecured
		2024	P 1,125,000	-	532		
Entities under Common Control							
Sales of good	7, a	2025	1,571,568	399,680	-	30 days credit term;	Unsecured;
		2024	1,676,460	783,100	-	non-interest bearing	no impairment
Lease expense	20, b	2025	35,964	-	262,575	Payable on a monthly	Unsecured
		2024	28,949	-	44,449	basis	
Rent expense	13, c	2025	10,547	-	-	Payable on a monthly	
		2024	4,989	-	7,879	basis	
Purchases of goods and services	13, d	2025	98,845	-	22,288	Due and demandable;	
		2024	37,575	-	48,052	non-interest bearing	
Reimbursement of expenses	7, e	2025	2,691	2,198	204	Payable on demand;	Unsecured;
		2024	1,900	2,872	4,503	non-interest-bearing	no impairment
Joint Venture							
Purchases of goods and services	13, d	2025	2,837,923	-	2,315,607	30 days credit term;	
		2024	3,558,548	-	1,381,093	non-interest bearing	
Dividends	11	2025	198,810	199,140	-	Due and demandable	Unsecured;
		2024	-	181,410	-		no impairment
		2025	P 6,106,348	P601,018	P 2,600,674		
		2024	P6,433,421	P967,382	P1,486,508		

- a. The Group distributes wines and liquors to entities under common control.
- b. The Group entered into lease agreements with entities under common control for its office spaces and warehouses. Lease expenses include amortization expense on right-of-use assets and interest expense on lease liabilities (see Note 20).
- c. The Group entered into agreement with entities under common control for additional warehouses on a short-term period not exceeding 1 year. The agreement is subject to renewal as needed.
- d. The Group purchased inventorable items and goods and availed services from entities under common control amounting to P98,845 and P37,575 for the six-month periods ended June 30, 2025 and 2024, respectively. The Group also purchased inventorable items from its investment in joint venture amounting to P 2,837,923 and P3,558,548 for the six-month periods ended June 30, 2025 and 2024, respectively.
- e. This represents cash advances to and from related parties as at June 30, 2025 and December 31, 2024 in the form of reimbursement of expenses and working capital advances.

Amounts owed by and owed to related parties are to be settled in cash.

The Parent Company requires approval of the BOD for related party transactions amounting to at least ten percent (10%) of the total consolidated assets, based on its latest audited financial statements.

Key Management Personnel

The compensation of the key management personnel of the Group, by benefit type, are as follows:

	June 30, 2025	June 30, 2024
Short-term employee benefits	P11,452	P4,852
Retirement benefit costs	205	73
	P11,657	P4,925

16. Equity

Capital Stock

As at June 30, 2025 and December 31, 2024, the Parent Company's capital stock, at P0.10 par value per share consists of the following number of shares:

	Shares	Amount
Authorized P0.10 par value	20,000,000,000	P2,000,000
Issued and outstanding, as previously reported -		
P0.023 par value	1,124,999,969	P25,875
Share swap transaction - P0.10 par value	11,250,000,000	1,125,000
Effect of changes in par value	(866,249,656)	-
Issuance of shares (FOO)	3,000,000,000	300,000
Issued and outstanding, as restated - P0.10 par value	14,508,750,313	P1,450,875

Common shares carry one vote per share and a right to dividends.

Presented below is the tracking of the Parent Company's registration:

Date	Activity	Issue Price	Number of Shares Common Shares
September 3, 1991	Issuance of capital stocks as of listing date	P2.85	1,124,999,969
June 30, 2021*	Effect of reduction in par value	-	(866,249,656)
June 30, 2021	Issuance of capital stocks via shares swap	P2.00	11,250,000,000
November 19, 2021	Issuance of capital stocks - FOO	P1.50	3,000,000,000
Total outstanding shares as at June 30, 2025			14,508,750,313

*Share swap transaction (see Note 5)

As at June 30, 2025 and December 31, 2024, the Parent Company has a total of 484 common stockholders owning listed shares.

Additional Paid-in Capital

Additional paid-in capital arising from the share swap transaction and issuance of common shares in 2021 amounted to P21,375,000 and P4,200,000, respectively. Related transaction costs paid and incurred in 2021 amounting to P173,333 was deducted against additional paid-in capital. The Parent Company's additional paid-in capital as at June 30, 2025 and December 31, 2024 amounted to P25,447,900.

Retained Earnings

Declaration of Dividends

On April 11, 2025, the Group's BOD approved the declaration of cash dividends approximately P0.12 per share or an aggregate amount of P1,741,050 for stockholders of record as of May 6, 2025. P1,740,799 were paid on May 30, 2025 while P251 are still unpaid as at June 30, 2025.

On May 13, 2024, the Group's BOD approved the declaration of cash dividend equivalent to P0.10 per share or an aggregate amount of P1,450,875. P1,450,343 were paid on June 20, 2024 while P532 remain payable as at June 30, 2025.

On December 11, 2023, the Group's BOD approved the declaration of cash dividend equivalent to P0.077 per share or an aggregate amount of P1,117,174. These dividends were paid on January 18, 2024.

17. Cost of Goods Sold

This account for the six-month periods ended June 30, 2025 and 2024 consists of:

	Note	2025	2024
Inventories at beginning of six-month period		P5,876,751	P7,658,757
Net purchases		6,026,137	6,083,540
Total goods available for sale		P11,902,888	P13,742,297
Inventories at end of six-month period:			
On-hand		(4,055,168)	(6,882,545)
In-transit		(1,219,336)	(1,296,139)
		(5,274,504)	(8,178,684)
	8	P6,628,384	P5,563,613

18. Operating Expenses

This account for the six-month periods ended June 30, 2025 and 2024 consists of:

	<i>Note</i>	2025	2024
Distribution costs		P194,714	P184,276
Advertisement		188,864	148,565
Taxes and licenses		104,166	40,577
Salaries and other employee benefits	21	86,256	78,118
Depreciation and amortization	10, 20	44,164	33,799
Outside services		25,905	26,196
Transportation and travel		12,908	10,190
Insurance		7,976	13,791
Rent		7,899	20,962
Legal and professional fees		7,809	2,823
Utilities and communication		1,854	1,750
Representation and entertainment		290	393
Miscellaneous		9,693	6,009
		P692,498	P567,449

19. Other Income

This account for the six-month periods ended June 30, 2025 and 2024 consists of:

	<i>Note</i>	2025	2024
Interest income	6	P115,745	P53,039
Foreign exchange losses - net		(79,744)	(942)
Interest expense	14, 20	(12,152)	(1,378)
Bank charges		(425)	(575)
Others			(26)
		P23,424	P50,118

20. Lease Agreements

The Group entered into lease agreements with entities under common control for its office space and warehouses except FDI in which it entered into lease agreements with third parties for its warehouse in Cebu. These leases have terms ranging from two (2) years to five (5) years, renewable under terms and condition agreed upon by both parties.

The lease payments provide for, among others, security deposits amounting to and P19,535 and P19,611 as at June 30, 2025 and December 31, 2024, which are shown under "Other noncurrent assets" account in the consolidated statements of financial position (see Note 12).

The movements and balances of the right-of-use assets and lease liabilities are as follows:

i. Right-of-Use Assets

	Note	June 30, 2025	December 31, 2024
Balance at beginning of period		P44,723	P65,787
Additions		254,028	39,340
Amortization charge for the period	18	(36,873)	(60,404)
Balance at end of period		P261,878	P44,723

ii. Lease Liabilities

	Note	June 30, 2025	December 31, 2024
Balance at beginning of period		P50,554	P75,281
Additions		254,028	39,340
Interest charge for the period	19	6,894	3,882
Payments made		(43,440)	(67,949)
Balance at end of period	27	P268,036	P50,554

As at June 30, 2025 and December 31, 2024, the Group's lease liabilities are classified in the consolidated statements of financial position as follows:

	June 30, 2025	December 31, 2024
Current	P58,581	P30,961
Noncurrent	209,455	19,593
	P268,036	P50,554

Maturity analyses of the undiscounted lease liabilities as at June 30, 2025 and December 31, 2024 are as follows:

	Undiscounted Lease Payments	Interest	Present Value of Lease Liabilities
Not later than one year	P73,093	P14,512	P58,581
Later than one year but not later than five years	233,505	24,050	209,455
Balances at June 30, 2025	P306,598	P38,562	268,036

	Undiscounted Lease Payments	Interest	Present Value of Lease Liabilities
Not later than one year	P32,678	P1,716	P30,962
Later than one year but not later than five years	20,367	775	19,592
Balances at December 31, 2024	P53,045	P2,491	P50,554

iii. Amounts recognized in profit or loss for the six-month periods ended June 30:

	Note	2025	2024
Amortization expense	18	P36,873	P25,476
Rent	18	7,899	20,962
Interest on lease liabilities	19	6,894	1,378
		P51,666	P47,816

Rent expense pertain to the Company's short-term leases of warehouses for inventory overflow.

iv. Amounts recognized in the consolidated statements of cash flows six-month periods ended June 30:

	2025	2024
Total cash outflow for leases	P36,544	P28,592

21. Retirement Benefits Liability

The Group has an unfunded, noncontributory, defined benefits retirement plan covering all of its regular, full-time employees. Under the plan, the employees are entitled to retirement benefits equivalent to an amount computed based on Republic Act No. 7641, Retirement Pay Law, equivalent to one-half month's salary for every year of service, with six months or more of service considered as one year.

The succeeding table summarizes the components of the retirement benefits cost under a defined benefits retirement plan recognized in profit or loss and the amount of retirement benefits liability recognized in the consolidated statements of financial position. Annual cost is determined using the projected unit credit method. The Group's latest actuarial valuation date is December 31, 2024.

The table below shows the present value of the defined benefits retirement obligation or the retirement benefits liability and its components as at June 30, 2025 and December 31, 2024:

	2025	2024
Balance at beginning of year	P30,183	P25,247
Recognized in Profit or Loss		
Current service cost	2,199	2,814
Interest cost	-	1,540
	32,382	4,354
Recognized in Other Comprehensive Income (Loss)		
Actuarial loss (gain) arising from:		
Change in demographic assumptions	-	(634)
Change in financial assumptions	-	6
Experience adjustments	-	1,577
	-	949
Benefits paid	-	(367)
Balance at end of year	P32,382	P30,183

The retirement benefits cost is recognized as part of “Salaries and other employee benefits” account under operating expenses in profit or loss.

There are no unusual or significant risks to which the retirement benefits liability exposes the Group. However, it should be noted that in the event a benefit claim arises under the retirement benefits liability, the benefit shall immediately be due and payable from the Group.

As at June 30, 2025 and December 31, 2024, accumulated remeasurement gain (loss) on retirement benefits amounted to (P528), as presented in the consolidated statements of financial position.

22. Income Taxes

The provision for income tax for the six-month periods ended June 30, 2025 and 2024 consists of:

	2025	2024
Current	P344,910	P318,424
Deferred	(532)	1,368
	P344,378	P319,792

The Group's provision for current income tax represents regular corporate income tax (RCIT) in all years presented.

For the six-month periods ended June 30, 2025 and 2024, MI elected to avail OSD in its determination of allowable deductions for income tax purposes which is equivalent to 40% of total gross income. MI intends to continue its availment of OSD in the subsequent periods.

The reconciliation of the provision for income tax computed at the statutory income tax rate and the provision for income tax shown in profit or loss for the six-month periods ended June 30, 2025 and 2024 are as follows:

	2025	2024
Income before income tax	P1,965,888	P1,746,009
Provision for income tax at the statutory income tax rate of 25% (20% for FDI in 2025 and UDC in 2024 and 2025)	P491,506	P436,502
Additions to (reductions from) income taxes resulting to the tax effects of:		
Availment of optional standard deduction	(112,236)	(79,970)
Share in net income of a joint venture and associate	(56,999)	(27,080)
Interest income subjected to final tax	(28,923)	(13,260)
Change in unrecognized deferred income tax asset	28,781	132
Non-deductible expenses	17,014	3,468
Applied NOLCO	5,235	
Provision for income tax	P344,378	P319,792

The components of the Group's net deferred income tax assets as at June 30, 2025 and December 31, 2024 are as follows:

	June 30, 2025	December 31, 2024
Retirement benefits liability	P5,580	P5,190
PFRS 16, <i>Leases</i> adjustment	223	1,209
Allowance for expected credit losses on trade receivables	655	655
Unrealized foreign exchange gains - net	(199)	(650)
	P6,259	P6,404

TKHI

As at June 30, 2025 and December 31, 2024, TKHI has carryforward benefits of unused NOLCO amounting to P63,030 and P42,088, respectively, for which no deferred income tax asset was recognized. Management believes that it is not probable that future taxable profits will be available to allow all or part of its deferred income tax asset to be utilized prior to its expiration.

Details of the TKHI's NOLCO for the taxable period June 30, 2025 are as follows:

Years Incurred	Amount	Applied Previous Year	Applied Current Year	Expired	Ending Balance	Expiry Date
2021	P55,336	(P41,988)	P-	P-	P13,348	2026*
2022	12,366	-	-	-	12,366	2027
2023	-	-	-	-	-	2028
2024	16,374	-	-	-	16,374	2029
2025	20,942	-	-	-	20,942	2030
	P105,018	(P41,988)	P -	P -	P63,030	

**Pursuant to Section 4 of Republic Act (RA) 11494, Bayanihan to Recover As One Act and as implemented under Revenue Regulations (RR) No. 25-2020, unless otherwise disqualified from claiming the deduction, the business or enterprise which incurred net operating loss for taxable years 2020 and 2021 shall be allowed to carry over the same as a deduction from its gross income for the next five (5) consecutive taxable years immediately following the year of such loss. The net operating loss for said taxable years may be carried over as a deduction even after the expiration of RA No. 11494 provided the same are claimed within the next five (5) consecutive taxable years immediately following the year of such loss.*

FDI

As at June 30, 2025 and December 31, 2024, FDI has carryforward benefits of unused NOLCO amounting to P9,796 and P7,845, respectively, for which no deferred income tax asset was recognized.

Details of the FDI's NOLCO for the taxable year 2025 are as follows:

Years Incurred	Amount	Applied Previous Year	Applied Current Year	Expired	Ending Balance	Expiry Date
2023	P4,184	P -	P -	P -	P4,184	2028
2024	3,661	-	-	-	3,661	2029
2025	1,951	-	-	-	1,951	2030
	P9,796	P -	P -	P -	P9,796	

MI

The following table shows the amounts of temporary differences for which no deferred income tax asset was recognized because MI believes that it is not probable that the tax benefits of these temporary differences will be availed of as MI intends to continue its availment of the optional standard deduction in the subsequent years:

	June 30, 2025	December 31, 2024
Unrealized foreign exchange losses (gains) - net	P81,552	(P36,296)
Retirement benefits liability	10,061	9,422
PFRS16, <i>Leases</i> adjustment	4,856	633
	P96,469	(P26,241)

UDC

As at June 30, 2025 and December 31, 2024, UDC has carryforward benefits of unused NOLCO amounting to nil and P669 for which no deferred income tax asset was recognized.

23. Provision

The Group sets-up a provision for any probable liabilities that may arise as a result of conducting its business. The disclosures of additional details beyond the present disclosures may prejudice the Group's position with respect to these matters. Thus, as allowed by PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, only a general description is provided.

No provision for probable losses was recognized by the Group for the periods ended June 30, 2025 and December 31, 2024 as well as on the reversal for provision on probable losses.

24. Earnings Per Share

Basic/diluted EPS of the Group is computed as follows:

<i>(In thousands, except per share data)</i>	June 30, 2025	June 30, 2024
Net income (a)	P1,621,510	P1,426,217
Weighted average number of common shares outstanding for the period* (b)	14,508,750,313	14,508,750,313
Basic EPS (a/b)	P0.11	P0.10

*after share swap transaction and change in par value of common shares (Note 5)

Weighted average number of common shares in 2025 and 2024 used for the purposes of basic earnings per share were computed as follows:

	2025		
	Number of Common Shares	Proportion to Period	Weighted Average
Outstanding shares at the beginning and end	14,508,750,313	6/6	14,508,750,313

	2024		
	Number of Common Shares	Proportion to Period	Weighted Average
Outstanding shares at the beginning and end	14,508,750,313	6/6	14,508,750,313

The Group has no potential dilutive instruments as at June 30, 2025 and 2024. Hence, diluted EPS is the same as the basic EPS.

25. Financial Risk and Capital Management Objectives and Policies

Objectives and Policies

The Group's BOD has overall responsibility for the establishment and oversight of the Group's risk management framework. The BOD has delegated to the management the responsibility of developing and monitoring the Group's risk management policies.

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The BOD oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

The Group's overall risk management program seeks to minimize potential adverse effects on the financial performance of the Group. There were no changes in the exposures to each of the above risks and to the Group's objectives, policies and processes for measuring and managing the risk from the previous period. The policies for managing specific risks are summarized below:

Credit Risk

Credit risk represents the risk of loss the Group would incur if credit customers and counterparties fail to perform their contractual obligations. The Group's credit risk arises from the Group's use of its financial assets. Credit risk management involves entering into financial transactions only with counterparties with acceptable credit rating.

The carrying amount of financial assets represents the maximum credit exposure to credit risk as at June 30, 2025 and December 31, 2024 as follows:

	Note	June 30, 2025	December 31, 2024
Cash in banks	6	P823,273	P1,620,841
Cash equivalents	6	4,880,193	3,280,099
Trade and other receivables	7	1,407,907	2,849,451
Refundable deposits	12	19,535	19,611
		P7,130,909	P7,770,002

The Group's policy is to enter into transactions with a diversity of credit worthy parties to mitigate any significant concentration of credit risk. There is no significant concentration of credit risk within the Group.

As at June 30, 2025 and December 31, 2024, the Group does not expect any counterparty, other than trade customers, to fail in meeting its obligations, thus, related risk is deemed to be insignificant. On the other hand, the Group believes that no impairment loss is necessary in respect of other financial assets since they are neither past due nor impaired.

Credit Quality

In monitoring and controlling credit extended to counterparty, the Group adopts a comprehensive credit rating system based on financial and non-financial assessments of its customers. Financial factors being considered comprised of the financial standing of the customer while the non-financial aspects include but are not limited to the assessment of the customer's nature of business, management profile, industry background, payment habit and both present and potential business dealings with the Group.

The Group assessed the credit quality of the following financial assets as follows:

- a. Cash in banks and cash equivalents were assessed as high grade since these are deposited in reputable banks with a good credit standing, which have a low profitability of insolvency and can be withdrawn anytime. The credit quality of these financial assets is considered to be high grade.
- b. Trade and other receivables were assessed as standard grade since these include receivables that are collected on their due dates even without an effort from the Group to follow them up.
- c. Refundable deposits were assessed as high grade since these security deposits are refundable at the end of the lease term which is expected from a reputable service provider.

ECL Assessment

The Group allocates each exposure to a credit risk on data that are determined to be predictive of the risk of loss (including but not limited to external ratings, audited financial assets, management accounts and cash flow projections and available press information about customers) and applying expected credit judgment. Credit risk grades are defined using qualitative and quantitative factors that are indicative of the risk of default.

In measuring the expected credit losses, the trade and other receivables have been assessed on a collective basis as they pose shared credit risk characteristics. They have been grouped based on the days past due.

The following table provides information about the exposure to credit risk for trade and other receivables as at June 30, 2025 and December 31, 2024:

	June 30, 2025		
	Gross Carrying Amount	Impairment Loss Allowance	Credit-impaired
Current (not past due)	P1,120,026	P -	No
1 - 30 days past due	218,179	-	No
31 - 120 days past due	65,769	-	No
More than 120 days past due	6,554	2,621	Yes
Balance at June 30, 2025	P1,410,528	P2,621	

	December 31, 2024		
	Gross Carrying Amount	Impairment Loss Allowance	Credit-impaired
Current (not past due)	P2,198,898	P -	No
1 - 30 days past due	579,931	-	No
31 - 120 days past due	64,796	-	No
More than 120 days past due	8,447	2,621	Yes
Balance at December 31, 2024	P2,852,072	P2,621	

The Group applies the simplified approach in providing for expected credit losses prescribed by PFRS 9, which permits the use of the lifetime expected loss provision and applies a provision matrix.

The maturity of the Group's receivables is less than one year so the lifetime expected credit losses and the 12-month expected credit losses are similar.

Exposures within each credit risk grade are assessed based on delinquency and actual credit loss experience. The Group considered both historical loss rate and forward-looking assumption. The Group assessed that the impact of forward-looking assumption is immaterial.

The maturity of the Group's receivables is less than one year so the lifetime expected credit losses and the 12-month expected credit losses are similar.

The allowance for impairment in respect of trade and other receivables of the Group as a result of the expected credit loss assessment amounted to P2,621 as at June 30, 2025 and December 31, 2024.

Exposures within each credit risk grade are assessed based on delinquency and actual credit loss experience. The Group considered both historical loss rate and forward-looking assumptions. The Group assessed that the impact of forward-looking assumption is immaterial.

Cash in banks and cash equivalents are considered of good quality as these pertain to deposits in reputable banks. Impairment on cash has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash has low credit risk based on the external credit ratings of the counter parties.

The credit risk for security deposit is assessed to have not increased significantly since

initial recognition as the counterparties have strong financial position and there are no past due amounts. The Group uses similar approach for assessment of ECLs for security deposit to those used for cash in banks. The Group has assessed that the impact of providing ECL for security deposit is immaterial, thus did not recognize loss allowance.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group manages liquidity risk by maintaining a balance between continuity of funding and flexibility in operations. Treasury controls and procedures are in place to ensure that sufficient cash is maintained to cover daily operational and working capital requirements, as well as capital expenditures and loan payments. Management closely monitors the Group's future and contingent obligations and sets up required cash reserves as necessary in accordance with internal requirements.

The following are the contractual maturities of financial liabilities as at June 30, 2025 and December 31, 2024:

	June 30, 2025			
	Carrying Amount	Contractual Cash Flows	1 Year or Less	More than 1 Year
Financial Liabilities				
Trade and other payables*	P3,047,971	P3,047,970	P3,047,970	P -
Dividends payable	783	783	783	-
Lease liabilities	268,036	306,598	73,093	233,505
Total	P3,316,790	P3,355,352	P3,121,847	P233,505

*Excluding statutory obligations amounting to P197,552.

	December 31, 2024			
	Carrying Amount	Contractual Cash Flows	1 Year or Less	More than 1 Year
Financial Liabilities				
Trade and other payables*	P2,143,253	P2,143,253	P2,143,253	P -
Dividends payable	532	532	532	-
Lease liabilities	50,554	53,045	32,678	20,367
Total	P2,194,339	P2,196,830	P2,176,463	P20,367

*Excluding statutory obligations amounting to P440,590.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other market prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return. The Group is subject to various risks, including foreign currency risk and interest rate risk.

Interest Rate Risk

Interest rate risks is the risk that future cash flows from a financial instrument (cash flow interest rate risk) or its fair value (fair value interest rate risk) will fluctuate because of changes in market interest rates.

Accordingly, management believes that the Group does not have significant interest rate risk.

Foreign Currency Exchange Risk

Foreign currency exchange risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to foreign currency risk relates primarily to the Group's foreign currency-denominated monetary assets and monetary liabilities.

The currencies in which these transactions are primarily denominated are in United States dollar (USD), Singaporean dollar (SGD), Euro (EUR), Australian Dollar (AUD) and British pound (GBP).

The following table shows the Group's foreign currency-denominated monetary assets and monetary liabilities and their Philippine peso (PHP) equivalents as at June 30, 2025 and December 31, 2024:

	June 30, 2025					PHP Equivalent
	USD	SGD	EUR	AUD	GBP	
Foreign currency - denominated monetary assets:						
Cash	5,493	-	2,452	-	-	473,536
Trade and other receivables	323	-	3,437	58	0	248,635
Foreign currency - denominated monetary liabilities:						
Trade payables	466	(5)	(34,392)	2	23	(2,255,035)
Net foreign currency - denominated monetary liabilities	6,282	(5)	(28,503)	60	23	(1,532,865)

	December 31, 2024					PHP Equivalent
	USD	SGD	EUR	AUD	GBP	
Foreign currency - denominated monetary assets:						
Cash	4,058	-	2,971	-	-	415,043
Trade and other receivables	1,176	-	3,161	55	9	262,054
	5,234	-	6,132	55	9	677,097
Foreign currency - denominated monetary liabilities:						
Trade payables	(378)	(5)	(24,322)	(247)	(61)	(1,506,347)
Net foreign currency - denominated monetary liabilities	4,856	(5)	(18,190)	(192)	(52)	(829,250)

Capital Risk Management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its businesses and maximize shareholder value.

The Group manages its capital structure and makes adjustments, in the light of changes in economic conditions. To maintain or adjust the capital structure, the Group may pay-off existing debts, return capital to stockholders or issue new shares.

The Group defines capital as paid-in capital stock and retained earnings.

There were no changes in the Group's approach to capital management during the year.

The Chief Financial Officer has the overall responsibility for monitoring of capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the Group's external environment and the risks underlying the Group's business operations and industry.

The Group's BODs review the capital structure of the Group on an annual basis. As

part of this review, the BODs consider the cost of capital and the risks associated with each class of capital.

The debt-to-equity ratio at the end of reporting periods is as follows:

	June 30, 2025	December 31, 2024
Debt	P3,911,526	P3,339,315
Equity	17,275,611	17,403,255
Debt to equity ratio	0.23:1	0.19:1

The Group is not subject to externally imposed capital requirements.